

Trane Technologies Financial Statement Analysis

Understanding Financial Statements

NYSE: TT

[Trane Technologies Investor Financial Summary](#)

By: Travis Reinart

June 27, 2026

- EMEA 5023: *Financial Forecasting and Reporting* •
- Module 2 *Understanding Financial Statements* •
- University of Colorado Boulder •

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Primary Source Documents

The financial review uses Trane Technologies' annual filings and investor materials. The 2025 Form 10-K and 2025 Annual Report are the primary sources for the financial statement review. The 2024 and 2023 Annual Reports support the year-over-year comparison, especially where prior-year balance sheet values are needed. The Q4 and full-year 2025 presentation is used only as supplemental company-provided investor context.

Primary 2025 Filing Sources

2025 Annual Report PDF: [Trane Technologies 2025 Annual Report](#)

2025 Form 10-K PDF Version: [Trane Technologies 2025 Form 10-K PDF](#)

2025 Form 10-K Direct SEC Filing: [Trane Technologies 2025 Form 10-K HTML Filing](#)

Year-over-Year Comparison Sources

2024 Annual Report PDF: [Trane Technologies 2024 Annual Report](#)

2023 Annual Report PDF: [Trane Technologies 2023 Annual Report](#)

Supplemental Investor Presentation

Q4 and Full-Year 2025 Earnings Presentation: [Trane Technologies Fourth-Quarter and Full-Year 2025 Results Presentation](#)

Note: The Q4 and full-year 2025 presentation includes non-GAAP financial measures. It is used as supplemental investor context, not as the primary source for the audited financial statements.

SEC Filing Search

SEC EDGAR Company Filings: [Trane Technologies SEC EDGAR Filing Page](#)

This SEC page provides access to Trane Technologies' public filings, including annual Form 10-K filings.

Executive Summary

Trane Technologies shows a strong financial position based on its 2025 annual financial statements. Revenue, operating income, net earnings, diluted earnings per share, and operating cash flow all improved over the three-year review period. The company also converted a larger share of revenue into operating profit, which points to stronger operating performance rather than growth from sales volume alone.

2025

NET REVENUES

\$21,321.9M

OPERATING INCOME

\$3,967.4M

OPERATING MARGIN

18.6%

NET EARNINGS

\$2,918.6M

OPERATING CASH FLOW

\$3,194.5M

DILUTED EPS

\$12.98

2024

NET REVENUES

\$19,838.2M

OPERATING INCOME

\$3,500.1M

OPERATING MARGIN

17.6%

NET EARNINGS

\$2,567.9M

OPERATING CASH FLOW

\$3,145.6M

DILUTED EPS

\$11.24

2023

NET REVENUES

\$17,677.6M

OPERATING INCOME

\$2,894.0M

OPERATING MARGIN

16.4%

NET EARNINGS

\$2,023.9M

OPERATING CASH FLOW

\$2,389.6M

DILUTED EPS

\$8.77

Financial Analysis Overview

The financial statements point to a company that is performing well and has room to keep funding its operations. The most important finding is not just that Trane Technologies grew revenue. The better finding is that profit margins improved while the company continued to produce cash. That combination makes the 2025 results more convincing than top-line growth by itself.

Profitability

Trane's operating margin improved from 16.4% in 2023 to 18.6% in 2025. That matters because the company kept more profit from each dollar of revenue. Net margin was 13.7% in 2025, which shows that the improvement carried through beyond operating income and into earnings attributable to shareholders.

Cash Generation

The cash flow statement supports the earnings result. Operating cash flow was higher than net earnings attributable to Trane, and company-adjusted non-GAAP free cash flow was about \$2.9B. That gives the company flexibility to reinvest, fund capital projects, support acquisitions, pay dividends, repurchase shares, and manage debt without relying only on new borrowing.

Liquidity and Working Capital

Short-term liquidity appears adequate. The current ratio was 1.25, so current assets were above current liabilities. The quick ratio was lower at 0.92, which means inventory is a meaningful part of the company's short-term asset base. For a manufacturing and service business, this is expected, but it makes inventory turnover and receivables collection important to monitor.

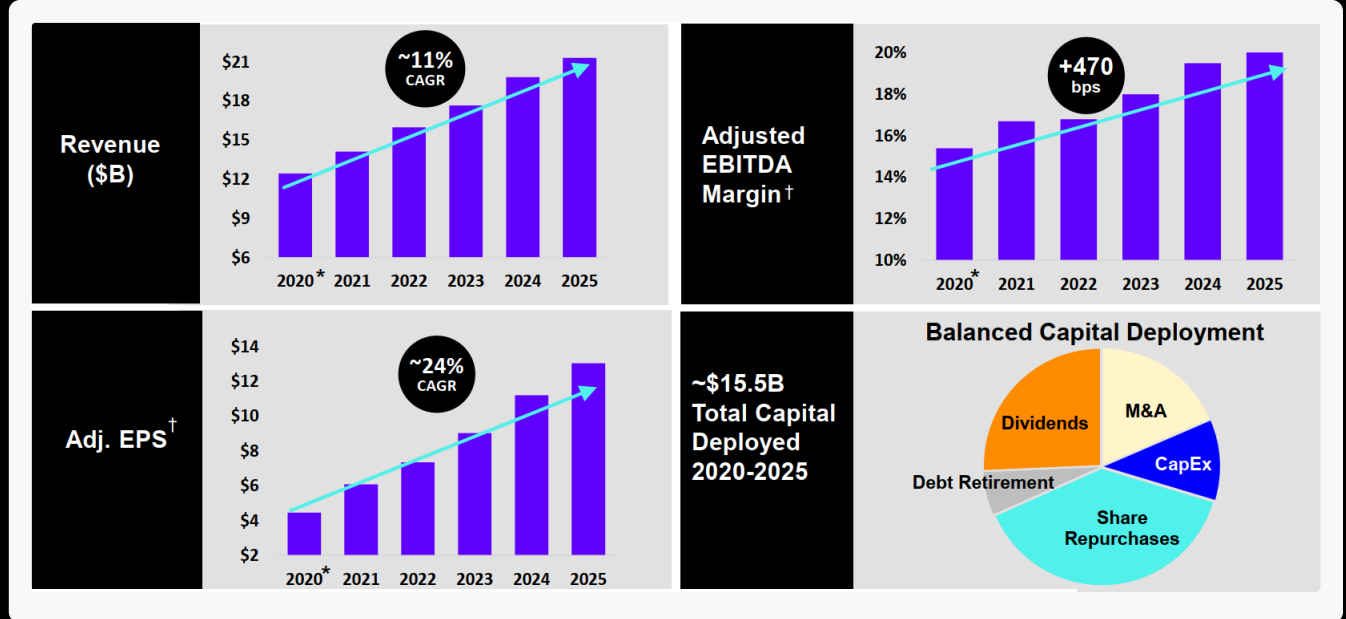
Leverage

Leverage is the main item I would keep watching. The debt ratio was 59.8%, and the debt-to-equity ratio was 1.49. Those figures show that liabilities are an important part of the capital structure. The offset is coverage. Operating income covered interest expense 17.50 times, and the EBITDA-based interest coverage ratio was 19.16 times, so interest expense does not appear to be pressuring the business based on 2025 results.

Conclusion

Overall, Trane Technologies appears financially healthy. The company has profitable growth, positive margin movement, reliable cash generation, and enough liquidity to meet short-term obligations. The main risk area is leverage, especially if demand weakens or working capital becomes less efficient. Based on the 2025 statements and ratio analysis, Trane appears capable of supporting operations, reinvestment, and capital returns.

Company-Provided Performance Snapshot



Source: Trane Technologies, Fourth-Quarter and Full-Year 2025 Results presentation, “Culture of Performance Excellence,” slide 5. This company-provided investor presentation includes non-GAAP financial measures; see Trane Technologies’ Q4 2025 earnings release for related reconciliations.

Report Criteria

This analysis reviews Trane Technologies' most recent annual filing, with a focus on the three core financial statements: the income statement, balance sheet, and statement of cash flows. The objective is to evaluate whether the company appears financially healthy based on profitability, liquidity, leverage, and cash generation.

Primary source: Trane Technologies 2025 Annual Report / Form 10-K

Primary year reviewed: Fiscal year 2025

Comparison period: Fiscal years 2023 through 2025

Dollar amounts: In millions, unless otherwise noted

The report starts with company context, then reviews the required financial statements, calculates selected financial ratios, includes the required statement screenshots, and ends with a short interpretation of the company’s financial condition.

Company Overview

Trane Technologies plc is a global climate company that provides heating, ventilation, air conditioning, transport refrigeration, custom refrigeration, controls, services, and related energy solutions. The company operates through two major strategic brands, Trane and Thermo King. Trane serves the commercial and residential HVAC markets, while Thermo King serves transport temperature control and cold-chain applications.

I selected Trane Technologies because it is the parent company of Thermo King, one of the most important manufacturers in transport refrigeration and my primary vendor. That connection makes the company more relevant to my professional work than an unrelated public company. Reviewing Trane’s financial statements also helps me understand the financial strength of a major vendor whose products, pricing, service network, and long-term strategy affect the transport refrigeration market.

Company Snapshot

COMPANY

Trane Technologies plc

TICKER SYMBOL

**TT | New York Stock
Exchange**

INDUSTRY

**Climate, HVAC, and
refrigeration**

PRINCIPAL OFFICE

**Swords, County Dublin,
Ireland**

2025 NET REVENUES

\$21.3 billion

EMPLOYEES

Approximately 44,000

Business Segments

Trane Technologies reports results through three geographic operating segments. The Americas segment is the largest part of the company and includes commercial HVAC, residential HVAC, building controls, energy services, and transport refrigeration. EMEA and Asia Pacific also serve HVAC and transport refrigeration markets in their respective regions.

AMERICAS

\$17.2B

Largest segment; includes North America and Latin America.

EMEA

\$2.8B

Europe, Middle East, and Africa.

ASIA PACIFIC

\$1.4B

Commercial HVAC and transport refrigeration across Asia Pacific.

Products, Services, and Market Position

Trane Technologies sells a broad range of products and services, including HVAC systems, chillers, building management systems, service agreements, energy management services, temporary heating and cooling, transport refrigeration systems, trailer refrigeration systems, truck refrigeration systems, container refrigeration systems, auxiliary power units, telematics, and related aftermarket parts and service.

The company competes on price, quality, delivery, service and support, technology, and innovation. Based on the scope of its product portfolio, global presence, and major brands, Trane Technologies is positioned as one of the leading companies in HVAC systems, building climate solutions, and transport temperature control.

PRODUCTS AND SERVICES

Our principal products and services include the following:

Air conditioners	Industrial process refrigeration
Air exchangers	Installation contracting
Air handlers	Lighting retrofit solutions
Airside and terminal devices	Medical grade refrigeration solutions
Air-sourced heat pumps	Multi-pipe HVAC systems
Asset management systems	Package heating and cooling systems
Auxiliary power units (electric and diesel)	Packaged rooftop units
Building management systems	Parts and supplies (aftermarket and OEM)
Bus air purification systems	Portable and mobile refrigeration systems
Bus and rail HVAC systems	Rail refrigeration systems
Chillers	Rate chambers
Coils and condensers	Refrigerant reclamation
Cold storage units	Renewable energy and storage projects
Condensing units	Rental services
Container refrigeration systems and gensets	Repair and maintenance services
Control systems	Residential air filters
Controls contracting and commissioning	Residential air filtration system
Data center facility controls	Residential cold climate heat pumps
Data center HVAC systems	Residential hybrid heating solutions
Data center liquid cooling solutions	Self-powered truck refrigeration systems
Data center services	Service agreements
Decarbonization programs	Smart and AI-enabled services
Dehumidifiers	Stationary cold storage solutions
Ductless systems	Telematics solutions
Energy and water efficiency programs	Temporary heating and cooling systems
Energy infrastructure programs	Thermal energy storage
Energy management services	Thermostats/controls & associated digital solutions
Energy recovery - power solutions	Trailer refrigeration systems (diesel, electric and hybrid)
Energy recovery ventilators	Transport heater products
Energy storage (battery)	Truck refrigeration systems (diesel, electric and hybrid)
Furnaces	Ultra-low temperature freezers
Geothermal systems	Unitary systems (light and large)
Home automation	Variable refrigerant flow systems
Humidifiers	Vehicle-powered truck refrigeration systems
HVAC Performance-monitoring applications	Ventilation
Indoor air quality assessments and related products for HVAC and Transport solutions	Water source heat pumps

These products are sold primarily under our tradenames including Trane® and Thermo King®.

COMPETITIVE CONDITIONS

Our products and services are sold in highly competitive markets throughout the world. Due to the diversity of these products and services and the variety of markets served, we encounter a wide variety of competitors that vary by product line and services. They include well-established regional or specialized competitors, as well as larger U.S. and non-U.S. corporations or divisions of larger companies.

Source: Trane Technologies 2025 Annual Report, Products and Services, page 100. This screenshot shows the company's principal products and services, including HVAC, refrigeration, controls, energy services, transport refrigeration, aftermarket parts, and service agreements.

Annual Report Reviewed

I reviewed Trane Technologies' 2025 Annual Report as one of the primary source documents for this analysis. The annual report provides a shareholder-facing summary of the company's 2025 performance, including revenue, bookings, backlog, free cash flow conversion, revenue mix, and shareholder return.

2025 FINANCIAL PERFORMANCE

\$22.6B

Bookings

+11% Organic Growth*
106% Book-to-Bill

6%

Organic Revenue
Growth*

+70 bps

Adjusted EBITDA
Margin Expansion*

16%

Adjusted
Continuing EPS
Growth*

98%

Free Cash Flow
Conversion*

37.3%

Cash Flow Return
on Invested
Capital (CROIC)*

\$7.8B

Backlog

+15% vs. '24
+169% vs. '20

\$3.1B

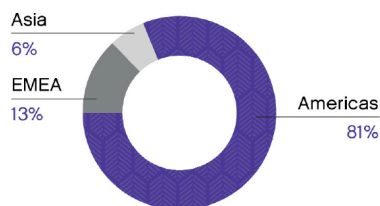
Balanced Capital
Deployment

[Includes Dividends, Share
Repurchases, Acquisitions,
and CapEx]

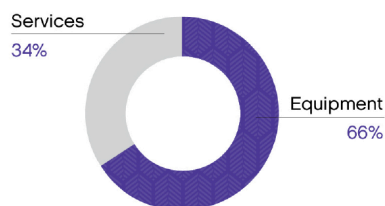
2025 Total Revenue

\$21.3B

Revenue by Segment



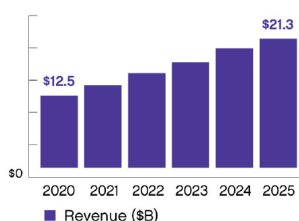
Revenue by Stream



Consistent Track Record of Strong Financial Results

Revenue

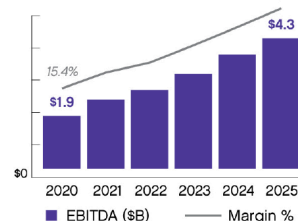
▲ +11% CAGR



Adjusted EBITDA*

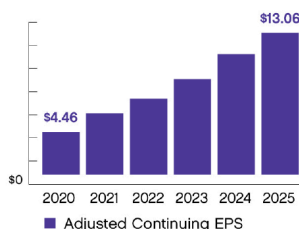
(margin %)

▲ +470 bps



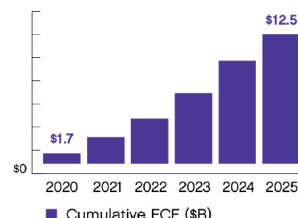
Adjusted Continuing Earnings Per Share*

▲ +24% CAGR

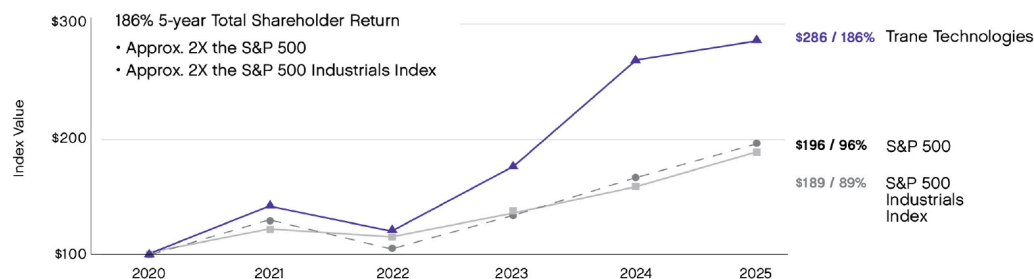


Cumulative Free Cash Flow Since 2020*

▲ 106% Average
FCF as a % of Adj.
Net Earnings '20-'25



Shareholder Returns



These are non-GAAP financial measures. Reconciliation of non-GAAP financial measures can be found on subsequent pages of our 2025 Annual Report.

Trane Technologies / 2025 Annual Report

Source: Trane Technologies 2025 Annual Report, 2025 Financial Performance page 4. This screenshot shows the company-published annual report summary used as a supporting source for the financial statement analysis.

SEC Form 10-K Reviewed

I also reviewed Trane Technologies' 2025 Form 10-K filed with the U.S. Securities and Exchange Commission. This is the official filing source for the audited financial statements, including the income statement, balance sheet, statement of cash

UNITED STATES SECURITIES AND EXCHANGE COMMISSION
Washington, D.C. 20549

FORM 10-K

(Mark One)

☒ ANNUAL REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934

For the fiscal year ended December 31, 2025

or

☐ TRANSITION REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934

For the transition period from _____ to _____

Commission File No. 001-34400

TRANE TECHNOLOGIES PLC

(Exact name of registrant as specified in its charter)

Ireland

(State or other jurisdiction of incorporation or organization)

98-0626632

(I.R.S. Employer Identification No.)

**170/175 Lakeview Dr.
Airside Business Park
Swords Co. Dublin
Ireland**

(Address of principal executive offices)

Registrant's telephone number, including area code: +(353) (0) 18707400

Securities registered pursuant to Section 12(b) of the Act:

Title of each class	Trading Symbol	Name of each exchange on which registered
Ordinary Shares, Par Value \$1.00 per Share	TT	New York Stock Exchange
5.250% Senior Notes due 2033	TT33	New York Stock Exchange
5.100% Senior Notes due 2034	TT34	New York Stock Exchange

Securities registered pursuant to Section 12(g) of the Act: None

Indicate by check mark if the registrant is a well-known seasoned issuer, as defined in Rule 405 of the Securities Act. Yes ☒ No ☐

Indicate by check mark if the registrant is not required to file reports pursuant to Section 13 or Section 15(d) of the Act. Yes ☐ No ☒

Indicate by check mark whether the registrant (1) has filed all reports required to be filed by Section 13 or 15(d) of the Securities Exchange Act of 1934 during the preceding 12 months (or for such shorter period that the registrant was required to file such reports), and (2) has been subject to such filing requirements for the past 90 days. Yes ☒ No ☐

Indicate by check mark whether the registrant has submitted electronically every Interactive Data File required to be submitted pursuant to Rule 405 of Regulation S-T (§232.405 of this chapter) during the preceding 12 months (or for such shorter period that the registrant was required to submit such files). Yes ☒ No ☐

Indicate by check mark whether the registrant is a large accelerated filer, an accelerated filer, a non-accelerated filer, a smaller reporting company, or an emerging growth company. See the definitions of "large accelerated filer," "accelerated filer," "smaller reporting company," and "emerging growth company" in Rule 12b-2 of the Exchange Act:

Large accelerated filer ☒ Accelerated filer ☐ Emerging growth company ☐
Non-accelerated filer ☐ Smaller reporting company ☐

If an emerging growth company, indicate by check mark if the registrant has elected not to use the extended transition period for complying with any new or revised financial accounting standards provided pursuant to Section 13(a) of the Exchange Act. ☐

Indicate by check mark whether the registrant has filed a report on and attestation to its management's assessment of the effectiveness of its internal control over financial reporting under Section 404(b) of the Sarbanes-Oxley Act (15 U.S.C. 7262(b)) by the registered public accounting firm that prepared or issued its audit report. Yes ☒ No ☐

If securities are registered pursuant to Section 12(b) of the Act, indicate by check mark whether the financial statements of the registrant included in the filing reflect the correction of an error to previously issued financial statements. ☐

Indicate by check mark whether any of those error corrections are restatements that required a recovery analysis of incentive-based compensation received by any of the registrant's executive officers during the relevant recovery period pursuant to § 240.10D-1(b). ☐

Indicate by check mark whether the registrant is a shell company (as defined in Rule 12b-2 of the Act). Yes ☐ No ☒

The aggregate market value of ordinary shares held by nonaffiliates on June 30, 2025 was \$972 billion based on the closing price of such stock on the New York Stock Exchange.

The number of ordinary shares outstanding of Trane Technologies plc as of January 30, 2026 was 221,331,905.

DOCUMENTS INCORPORATED BY REFERENCE

Portions of the registrant's proxy statement to be filed within 120 days of the close of the registrant's fiscal year in connection with the registrant's Annual General Meeting of Shareholders to be held June 5, 2026 are incorporated by reference into Part III of this Form 10-K.

Source: Trane Technologies 2025 Annual Report, 2025 Financial Performance page 95. 2025 Form 10-K, fiscal year ended December 31, 2025. This screenshot confirms the SEC filing used as the primary source for the financial statement review.

Consolidated Statements of Earnings

PART IV

Trane Technologies plc Consolidated Statements of Earnings

In millions, except per share amounts

FOR THE YEARS ENDED DECEMBER 31,	2025	2024	2023
Net revenues			
Products	\$ 13,982.3	\$ 13,314.5	\$ 11,975.4
Services	7,339.6	6,523.7	5,702.2
	21,321.9	19,838.2	17,677.6
Costs and expenses			
Cost of products sold	(9,426.5)	(8,927.9)	(8,414.2)
Cost of services sold	(4,185.2)	(3,829.8)	(3,406.2)
Selling and administrative expenses	(3,742.8)	(3,580.4)	(2,963.2)
Operating income	3,967.4	3,500.1	2,894.0
Interest expense	(226.7)	(238.4)	(234.5)
Other income/(expense), net	(62.1)	(19.9)	(92.2)
Earnings before income taxes	3,678.6	3,241.8	2,567.3
Provision for income taxes	(705.9)	(627.6)	(498.4)
Earnings from continuing operations	2,972.7	2,614.2	2,068.9
Discontinued operations, net of tax	(37.0)	(24.7)	(27.2)
Net earnings	2,935.7	2,589.5	2,041.7
Less: Net earnings from continuing operations attributable to noncontrolling interests	(17.1)	(21.6)	(17.8)
Net earnings attributable to Trane Technologies plc	\$ 2,918.6	\$ 2,567.9	\$ 2,023.9
Amounts attributable to Trane Technologies plc ordinary shareholders:			
Continuing operations	\$ 2,955.6	\$ 2,592.6	\$ 2,051.1
Discontinued operations	(37.0)	(24.7)	(27.2)
Net earnings	\$ 2,918.6	\$ 2,567.9	\$ 2,023.9
Earnings (loss) per share attributable to Trane Technologies plc ordinary shareholders:			
Basic:			
Continuing operations	\$ 13.25	\$ 11.46	\$ 8.97
Discontinued operations	(0.16)	(0.11)	(0.12)
Net earnings	\$ 13.09	\$ 11.35	\$ 8.85
Diluted:			
Continuing operations	\$ 13.14	\$ 11.35	\$ 8.89
Discontinued operations	(0.16)	(0.11)	(0.12)
Net earnings	\$ 12.98	\$ 11.24	\$ 8.77

See accompanying notes to Consolidated Financial Statements.

Consolidated Balance Sheets

PART IV

Trane Technologies plc Consolidated Balance Sheets

In millions, except share amounts

DECEMBER 31,	2025	2024
ASSETS		
CURRENT ASSETS:		
Cash and cash equivalents	\$ 1,763.3	\$ 1,590.1
Accounts and notes receivable, net	3,235.3	3,090.2
Inventories	2,103.6	1,971.5
Other current assets	760.8	686.0
Total current assets	7,863.0	7,337.8
Property, plant and equipment, net	2,251.3	2,024.5
Goodwill	6,457.0	6,127.9
Intangible assets, net	3,236.7	3,308.2
Other noncurrent assets	1,612.7	1,348.3
Total assets	\$ 21,420.7	\$ 20,146.7
LIABILITIES AND EQUITY		
Current liabilities:		
Accounts payable	\$ 2,153.9	\$ 2,148.0
Accrued compensation and benefits	614.8	678.4
Accrued expenses and other current liabilities	2,825.0	2,790.3
Short-term borrowings and current maturities of long-term debt	693.0	452.2
Total current liabilities	6,286.7	6,068.9
Long-term debt	3,922.1	4,318.1
Postemployment and other benefit liabilities	541.5	561.9
Deferred and noncurrent income taxes	716.3	586.6
Other noncurrent liabilities	1,353.2	1,124.3
Total liabilities	12,819.8	12,659.8
Equity:		
Trane Technologies plc shareholders' equity		
Ordinary shares, \$1.00 par value (244,968,933 and 248,971,153 shares issued at December 31, 2025 and 2024, respectively)	245.0	249.0
Ordinary shares held in treasury, at cost (23,496,975 and 24,497,206 shares at December 31, 2025 and 2024, respectively)	(1,649.1)	(1,719.3)
Retained earnings	10,422.1	9,791.8
Accumulated other comprehensive income (loss)	(438.8)	(864.1)
Total Trane Technologies plc shareholders' equity	8,579.2	7,457.4
Noncontrolling interest	21.7	29.5
Total equity	8,600.9	7,486.9
Total liabilities and equity	\$ 21,420.7	\$ 20,146.7

See accompanying notes to Consolidated Financial Statements.

PART IV

Trane Technologies plc

Consolidated Statements of Cash Flows

In millions

FOR THE YEARS ENDED DECEMBER 31,	2025	2024	2023
Cash flows from operating activities:			
Net earnings	\$ 2,935.7	\$ 2,589.5	\$ 2,041.7
Discontinued operations, net of tax	37.0	24.7	27.2
Adjustments for non-cash transactions:			
Depreciation and amortization	376.3	379.4	348.1
Pension and other postretirement benefits	34.8	40.6	51.0
Stock settled share-based compensation	86.6	82.9	64.3
Other non-cash items, net	31.6	(178.3)	(32.7)
Changes in other assets and liabilities, net of the effects of acquisitions:			
Accounts and notes receivable	(61.2)	(180.6)	(110.1)
Inventories	(84.8)	162.5	(96.4)
Other current and noncurrent assets	(304.8)	(162.4)	(152.3)
Accounts payable	(2.6)	100.9	(125.3)
Other current and noncurrent liabilities	171.8	318.5	411.3
Net cash provided by (used in) continuing operating activities	3,220.4	3,177.7	2,426.8
Net cash provided by (used in) discontinued operating activities	(25.9)	(32.1)	(37.2)
Net cash provided by (used in) operating activities	3,194.5	3,145.6	2,389.6
Cash flows from investing activities:			
Capital expenditures	(383.0)	(370.6)	(300.7)
Acquisitions of businesses, net of cash acquired	(276.0)	(180.3)	(862.8)
Proceeds from sale of property, plant and equipment	20.6	4.7	9.2
Purchases of short-term investments	—	(450.0)	—
Proceeds from short-term investments	—	450.0	—
Other investing activities, net	(1.6)	(16.7)	(17.9)
Net cash provided by (used in) investing activities	(640.0)	(562.9)	(1,172.2)
Cash flows from financing activities:			
Short-term borrowings (payments), net	—	—	(1.9)
Proceeds from long-term debt	—	498.5	699.2
Payments of long-term debt	(159.1)	(507.5)	(754.6)
Net proceeds from (payments of) debt	(159.1)	(9.0)	(57.3)
Debt issuance costs	(2.0)	(4.6)	(6.4)
Dividends paid to ordinary shareholders	(837.3)	(757.5)	(683.7)
Dividends paid to noncontrolling interests	(26.7)	(13.3)	(12.9)
Proceeds (payments) from shares issued under incentive plans, net	12.6	46.9	79.3
Repurchase of ordinary shares	(1,481.3)	(1,280.8)	(669.3)
Other financing activities, net	(2.0)	(2.3)	—
Net cash provided by (used in) financing activities	(2,495.8)	(2,020.6)	(1,350.3)
Effect of exchange rate changes on cash and cash equivalents	114.5	(67.3)	7.7
Net increase (decrease) in cash and cash equivalents	173.2	494.8	(125.2)
Cash and cash equivalents – beginning of period	1,590.1	1,095.3	1,220.5
Cash and cash equivalents – end of period	\$ 1,763.3	\$ 1,590.1	\$ 1,095.3
Cash paid during the year for:			
Interest	\$ 222.0	\$ 233.3	\$ 217.4
Income taxes, net of refunds	\$ 647.1	\$ 717.2	\$ 526.1

See accompanying notes to Consolidated Financial Statements.

Financial Statement Review

Trane Technologies' 2025 financial statements show a profitable company with strong operating cash flow, adequate short-term liquidity, and meaningful but manageable leverage. The income statement shows earning power, the balance sheet shows financial position, and the cash flow statement confirms that earnings were supported by cash generation.

Income Statement

NET REVENUES

\$21,321.9M

OPERATING INCOME

\$3,967.4M

NET EARNINGS ATTRIBUTABLE TO TRANE

\$2,918.6M

Operating income was 18.6% of revenue, and net earnings attributable to Trane were 13.7% of revenue.

Balance Sheet

TOTAL ASSETS

\$21,420.7M

TOTAL LIABILITIES

\$12,819.8M

SHAREHOLDERS' EQUITY

\$8,579.2M

The balance sheet shows acceptable liquidity with a current ratio of 1.25. Liabilities equal 59.8% of total assets.

Cash Flow Statement

OPERATING CASH FLOW

\$3,194.5M

CONTINUING OPERATING CASH FLOW

\$3,220.4M

FREE CASH FLOW

\$2,887.3M

Operating cash flow exceeded net earnings, which means reported profit was backed by cash generation.

Overall Assessment

Overall, Trane Technologies appears financially healthy in 2025. The company generated strong revenue, produced solid operating and net earnings, maintained enough current assets to cover current liabilities, and generated substantial cash flow. The main item to monitor is leverage, but the interest coverage and times-interest-earned ratios show that earnings are well above interest expense.

Ratio Analysis

The ratios below use 2025 values from Trane Technologies' annual financial statements. Dollar amounts are in millions except per-share data. Each calculation shows the formula, the actual numbers used, and the final result.

Liquidity Ratios

Current Ratio

1.25

Formula and Calculation

$$\text{Current Ratio} = \frac{\text{Current Assets}}{\text{Current Liabilities}} = \frac{7,863.0}{6,286.7} = 1.25$$

Quick Ratio

0.92

Formula and Calculation

$$\text{Quick Ratio} = \frac{\text{Current Assets} - \text{Inventory}}{\text{Current Liabilities}} = \frac{7,863.0 - 2,103.6}{6,286.7} = 0.92$$

Asset Management Ratios

Inventory Turnover Ratio

6.47

Formula and Calculation

$$\text{Inventory Turnover} = \frac{\text{Cost of Goods Sold}}{\text{Inventory}} = \frac{13,611.7}{2,103.6} = 6.47$$

Days Sales Outstanding

55.4 days

Formula and Calculation

$$\text{DSO} = \frac{\text{Accounts Receivable}}{\text{Net Revenues} / 365} = \frac{3,235.3}{21,321.9 / 365} = 55.4 \text{ days}$$

Profitability and Debt Management Ratios

Profitability Ratios

Gross Margin

36.2%

Formula and Calculation

$$\text{Gross Margin} = \frac{\text{Gross Profit}}{\text{Net Revenues}} = \frac{7,710.2}{21,321.9} = 36.2\%$$

Operating Margin

18.6%

Formula and Calculation

$$\text{Operating Margin} = \frac{\text{Operating Income}}{\text{Net Revenues}} = \frac{3,967.4}{21,321.9} = 18.6\%$$

Net Margin**13.7%****Formula and Calculation**

$$\text{Net Margin} = \frac{\text{Net Earnings Attributable to Trane}}{\text{Net Revenues}} = \frac{2,918.6}{21,321.9} = 13.7\%$$

Debt Management Ratios**Debt Ratio****59.8%****Formula and Calculation**

$$\text{Debt Ratio} = \frac{\text{Total Liabilities}}{\text{Total Assets}} = \frac{12,819.8}{21,420.7} = 59.8\%$$

Debt-to-Equity Ratio**1.49****Formula and Calculation**

$$\text{Debt-to-Equity} = \frac{\text{Total Liabilities}}{\text{Shareholders' Equity}} = \frac{12,819.8}{8,579.2} = 1.49$$

Interest Coverage Ratio**19.16****Formula and Calculation**

$$\text{Interest Coverage} = \frac{\text{EBITDA Proxy}}{\text{Interest Expense}} = \frac{3,967.4 + 376.3}{226.7} = 19.16$$

EBITDA proxy equals operating income plus depreciation and amortization.

Times-Interest-Earned Ratio**17.50****Formula and Calculation**

$$\text{Times Interest Earned} = \frac{\text{Operating Income}}{\text{Interest Expense}} = \frac{3,967.4}{226.7} = 17.50$$

Investment Ratios**Return on Assets****13.6%****Formula and Calculation**

$$\text{Return on Assets} = \frac{\text{Net Earnings Attributable to Trane}}{\text{Total Assets}} = \frac{2,918.6}{21,420.7} = 13.6\%$$

Return on Equity**34.0%****Formula and Calculation**

$$\text{Return on Equity} = \frac{\text{Net Earnings Attributable to Trane}}{\text{Shareholders' Equity}} = \frac{2,918.6}{8,579.2} = 34.0\%$$

Market Value Ratios

The market value ratios below are disclosed directly in Trane Technologies' 2025 Consolidated Statements of Earnings. Unlike the other ratios, basic EPS and diluted EPS do not need to be recalculated from the balance sheet. They already reflect the company's earnings and weighted average shares outstanding.

Basic EPS \$13.09	Disclosed Value Basic Earnings Per Share = \$13.09 Basic EPS uses the basic weighted average number of ordinary shares outstanding.
Diluted EPS \$12.98	Disclosed Value Diluted Earnings Per Share = \$12.98 Diluted EPS is the better investor-facing EPS measure because it includes potential share dilution.

Year-over-Year Ratio Trend Review

This section compares Trane Technologies' key financial ratios across 2023, 2024, and 2025. The goal is to show the trend, not repeat the full ratio math. The same ratio basis is used from the earlier calculation section, including year-end balance sheet values for assets, equity, inventory, receivables, and liabilities.

PROFITABILITY TREND Margins Expanded Gross margin, operating margin, and net margin all improved from 2023 to 2025.	LIQUIDITY TREND Improved Current ratio and quick ratio both moved in the right direction each year.	LEVERAGE TREND Lower Risk Debt ratio and debt-to-equity ratio declined from 2023 to 2025.
SHAREHOLDER METRIC EPS Increased Basic EPS and diluted EPS increased each year from 2023 through 2025.		

The overall pattern is favorable. Trane became more profitable, slightly less leveraged, and better covered its interest expense while continuing to grow earnings per share.

YoY Ratio Trend Review

This section compares Trane Technologies' key financial ratios across 2023, 2024, and 2025. The goal is to show direction and trend without repeating the full ratio formulas.

Liquidity Ratios

Current Ratio

2023	2024	2025
1.13	1.21	1.25

Current asset coverage improved each year.

Quick Ratio

2023	2024	2025
0.78	0.88	0.92

Improved, but remained below 1.00 because inventory is a meaningful current asset.

Asset Management Ratios

Inventory Turnover Ratio

2023	2024	2025
5.49	6.47	6.47

Improved in 2024 and held steady in 2025.

Days Sales Outstanding

2023	2024	2025
61.1	56.9	55.4
days	days	days

Receivables represented fewer days of sales each year.

Profitability Ratios

Gross Margin

2023
33.1%

2024
35.7%

2025
36.2%

Expanded each year.

Operating Margin

2023
16.4%

2024
17.6%

2025
18.6%

Best margin trend in the review.

Net Margin

2023
11.4%

2024
12.9%

2025
13.7%

Improved beyond operating income.

Debt Management Ratios

Debt Ratio

2023
63.8%

2024
62.8%

2025
59.8%

Liabilities became a smaller share of total assets.

Debt-to-Equity Ratio

2023
1.77

2024
1.70

2025
1.49

Leverage moved down across the three-year period.

Interest Coverage Ratio

2023	2024	2025
13.83	16.27	19.16

EBITDA-based coverage increased each year.

Times-Interest-Earned Ratio

2023	2024	2025
12.34	14.68	17.50

Operating income covered interest by a wider margin.

Investment and Market Value Ratios

Return on Assets

2023	2024	2025
10.4%	12.7%	13.6%

More earnings per dollar of assets.

Return on Equity

2023	2024	2025
28.9%	34.4%	34.0%

Rose in 2024 and stayed near that level in 2025.

Basic EPS

2023	2024	2025
\$8.85	\$11.35	\$13.09

Increased each year.

Diluted EPS

2023	2024	2025
\$8.77	\$11.24	\$12.98

Increased each year after dilution.

YoY Takeaway

The three-year trend is favorable. Margins expanded, EPS increased, leverage declined, liquidity improved, and interest coverage increased. The main items to watch are the quick ratio remaining below 1.00, inventory turnover flattening in 2025, and return on equity easing slightly from 2024 to 2025.

Source basis: Trane Technologies 2023, 2024, and 2025 Annual Reports / Form 10-K filings. Dollar amounts are in millions except EPS. Ratios use the same year-end calculation basis applied earlier in this notebook.